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Asia FI & FX Strategy Viewpoint

Asia Bonds: 8 Real Lessons from real rates

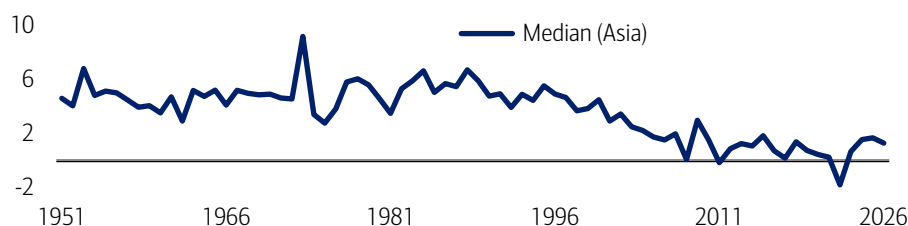
Real lessons from 76 years of real rates

We use a unique dataset of real long-term interest rates to study how they evolve in EM Asia and what the investment implications are. The key 8 takeaways are as follows:

- #1 **Secular decline:** Much like US real rates, EM Asia real rates have seen secular declines. However, unlike advanced economies they have stayed more persistently positive, offering better and more sustained positive real returns.
- #2 **Correlating more, but still idiosyncratic.** EM Asia real rate correlations with US real rates are rising over time, but in many cases they are still below 50%. This suggests ample room for portfolio diversification and alpha opportunities in Asia.
- #3 **EM Asia real rates are converging.** The dispersion of Asia real rates is narrowing, suggesting more intra-regional economic integration and proliferation of central bank inflation targeting, anchoring long-term yields
- #4 **Capital account liberalization matters.** The greater correlation of Asian real long-term interest rates is strongly associated with greater capital account liberalization.
- #5 **Shocking events.** Economic shocks due to economic crisis and China's WTO entry are meaningful in lowering real long-term rates in China, Indonesia, India and Korea.
- #6 **Persistent trends (lagged values)** in real long-term rates dominate in the Philippines but matter least for India and China.
- #7 **Country lessons:** Current account deficit nations - India, Indonesia and Philippines long-term real rates remain highly idiosyncratic. China, Korea, Thailand & Malaysia are easier to explain in regression terms.
- #8 **China real rates are shaped more by disinflationary shocks** than inflation.

Exhibit 1: Long-term EM Asia real interest rates began the descent post Asia Financial Crisis

Except for the COVID/Ukraine 2022 period they have remain positive



Source: BofA Global Research estimates, The Public Finances in Modern History Database, Macrobond

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04 August 2026

GEM FI & FX Strategy
Asia

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Glossary of acronyms

AFC - Asian Financial Crisis

EM - Emerging Markets

GBIEM - Government Bond Index-
Emerging Markets

GFC - Global Financial Crisis

GST - Goods and Services Tax

OPEC - Organization of the
Petroleum Exporting Countries

WTO- World Trade Organization

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EM Asia rates: Declining, but different

#1 76 years of Secular Decline with a difference

We examine the evolution of 76 years of EM Asia long term real interest rates (1950-2026) and draw out eight implications for today's investor, which we summarize on the front page and detail in turn below (see appendix for dataset details).

Overall, this note finds evidence of EM Asia real rates leaning toward domestic structural shifts and crises dominating the level decline, while global integration explains rising correlations

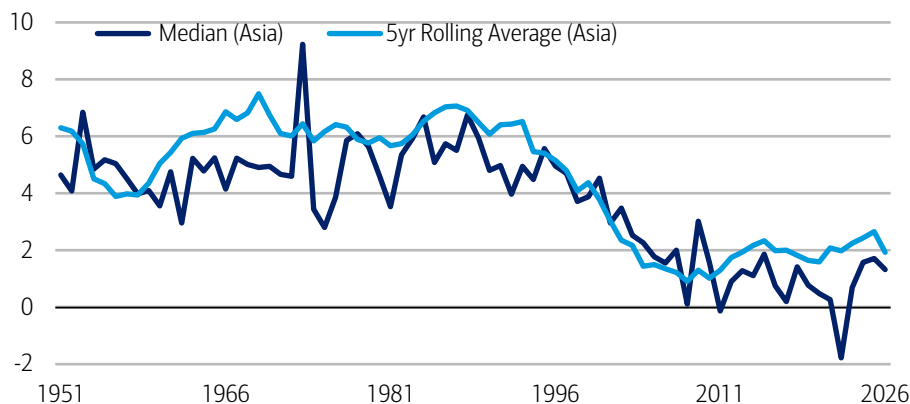
Exhibit 2, below, shows the broad sweep and downward trend of the EM Asia rates, by taking a 5-year moving and median average to smooth out the business cycles of Indonesia, Malaysia, India, South Korea, Thailand, Philippines, China. The lower and at times negative real of the median real yield compared with the average real yield hints at much higher real yield outliers of some Asian countries that pulls up the regional average, which we will explore later.

Overall, the long-term downward trend in EM Asia long-term real rates can be viewed as consistent with more established empirical studies on developed market rates (see for example: Long-Run Trends in Long-Maturity Real Rates 1311-2021 by Rogoff, Rossi and Schmelzing). A key difference is that EM Asia is a late developer in that its long-term real yields only began to fall in the late 1990s.

Post the 1990s and the Asia Financial Crisis, stronger monetary policy credibility, deeper financial integration, China's WTO entry and subsequent lower inflation were helping to compress Asian yields, bringing them closer to US levels.

Exhibit 2: 5yr rolling median and average of EM Asian real yields since the 1950s

Real yields in Asia moved from a high and dispersed structure to a low and compressed one.



Source: BofA Global Research, The Public Finances in Modern History Database, Macrobond

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Another way to explore the evolution of EM Asia long-term real rates is to compare their relative spread to US long-term real yields. We do this in Exhibit 3 where we show the average EM Asia real yield spread to the US and that of DM (Germany, Japan, UK) relative to the US long-term real yield.

EM Asia spreads to US real rates seldom turn negative (go below US real yields). This is especially so when developed economy real rates sustain negative rates for extended periods. Two examples of this are in the late 70s/early 80s and the post-GFC period.

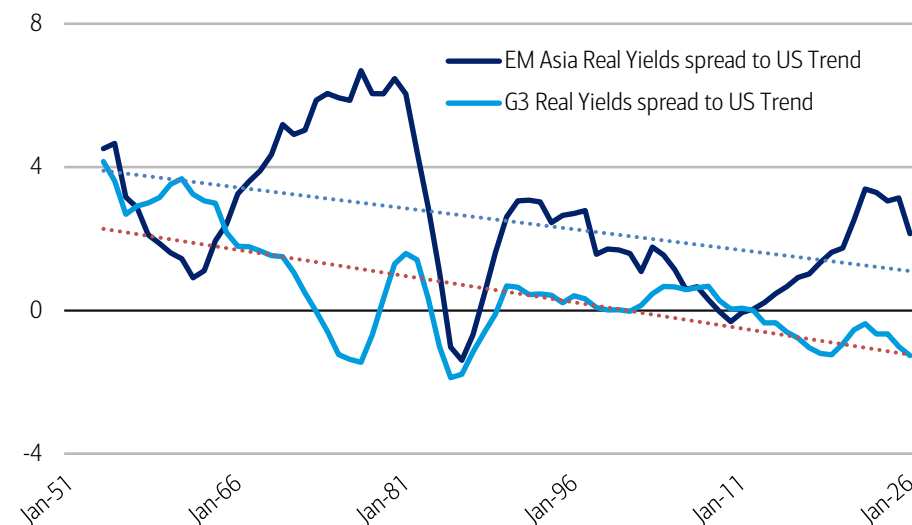
The episode of the late 1970s can be described as an inflationary shock period, while the post-GFC period is characterized by a shock deflationary period, followed by a COVID



shock inflationary period. The consistent theme in all these episodes are the extreme shocks that are likely triggered by a higher risk-premium for what are considered riskier EM assets. Additionally, higher nominal GDP and population growth rates in EM Asia make it harder for EM Asia bonds to approach the zero lower bound.

Exhibit 3: Evolution of EM Asia long-term real yields vs US real yields with linear trends

EM & G3 spreads to US real yields falling over time, but EM Asia still offers positive spread to US



Source: BofA Global Research, The Public Finances in Modern History

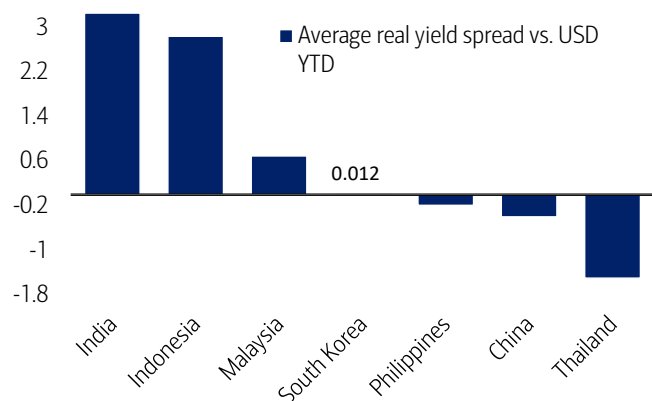
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Indeed, after narrowing through much of 2010s, the relative EM Asia spreads are widening again, offering positive yields relative to the US real yields. This pattern is particularly notable given that Asia has remained structurally under-owned in regional portfolios relative to their recommended GBIEM benchmark – see Exhibit 5.

The difficulty is that the positive real yield differential vs. the US is very concentrated among India, Indonesia and Malaysia (see Exhibit 4). Asia's largest bond market, China, now has a negative real yield spread against the US, as nominal yields have compressed significantly. Additionally, Thailand, Korea and Philippines long-term real yields remain less than 50bps, which is not attractive relative to their higher yielding Latam peers.

Exhibit 4: Asia offers positive yields despite diverging performance

Positive rates relative to US remain a hallmark, with India standing

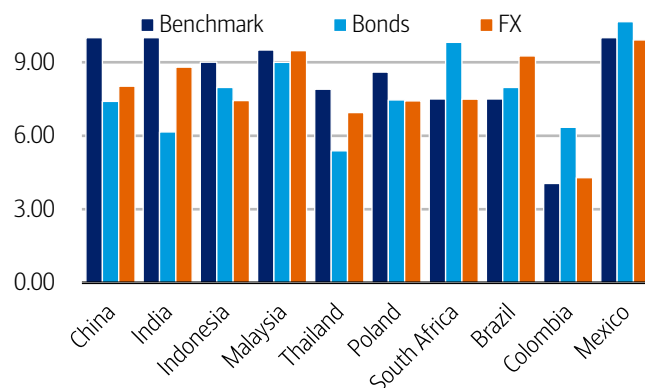


Source: BofA Global Research, The Public Finances in Modern History, Bloomberg

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Exhibit 5: Foreign investors remain underweight in Asia

Allocations remain below benchmarks even as most Asian markets offer attractive inflation-adjusted returns relative to the US



Source: BofA Global Research, The Public Finances in Modern History, fund factsheets

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#2 EM Asia diversification benefits still hold

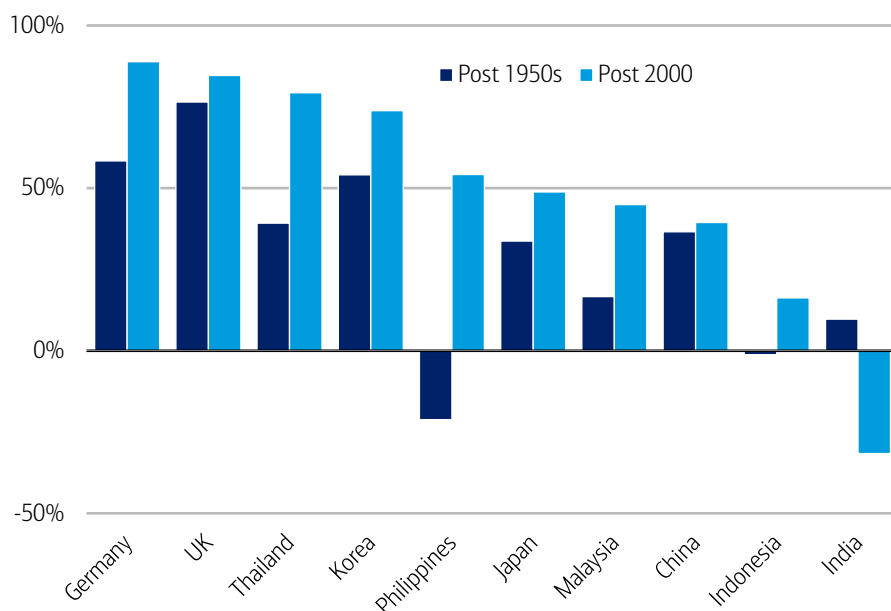
As discussed, EM Asia long-term yields are falling, but on average they remain positive relative to US real yields. Additionally, they still offer diversification benefits and alpha opportunities even though their longer-term correlation with US and developed market yields have risen.

Exhibit 6 shows EM Asia real yield correlations (as well as Germany, Japan and the UK) with the US during two sample periods: (1) 1950-2000 and (2) 2000-2026 ytd. This shows a broad rise in correlations with US real yields post 2000, with Germany and the UK scoring highest due to their established open capital account positions.

The UK and Germany exhibit correlations of around 0.85-0.9 with US real yields, while most of the Asian market remains below 50%. Thailand and Korea have become more closely aligned to US rate cycles, but China, Malaysia, India, and Indonesia exhibit substantially lower correlations, suggesting greater alpha opportunities. Japan's lower correlation relative to Germany and the UK is a likely consequence of its secular deflation and BoJ quantitative policy of the 1990s, which is finally coming to an end.

Exhibit 6: Long-term real yield correlations with the US: Before & After 2000

EM Asia real yield correlations to the US rises, but case of diversification remains



Source: BofA Global Research, The Public Finances in Modern History, Bloomberg

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Correlation does not imply causation, but the dominance of the US in the global financial system implies US yields are increasingly influencing Asian real rates. However, it is important not to lose sight that domestic macroeconomic conditions and policy frameworks continue to determine the magnitude and persistence of local-rate movements. This offers ample room for portfolio diversification and alpha opportunities.

#3 EM Intra Asia real yield convergence

Although real rates remain differentiated across economies, cross-country dispersion has narrowed significantly over time (Exhibit 7). The dispersion is measured by the standard deviation of cross-section of country real yields each year. Earlier decades were characterized by wide differences in monetary credibility, inflation regimes, exchange-rate arrangements, and stages of economic development, resulting in large variation in real yields.

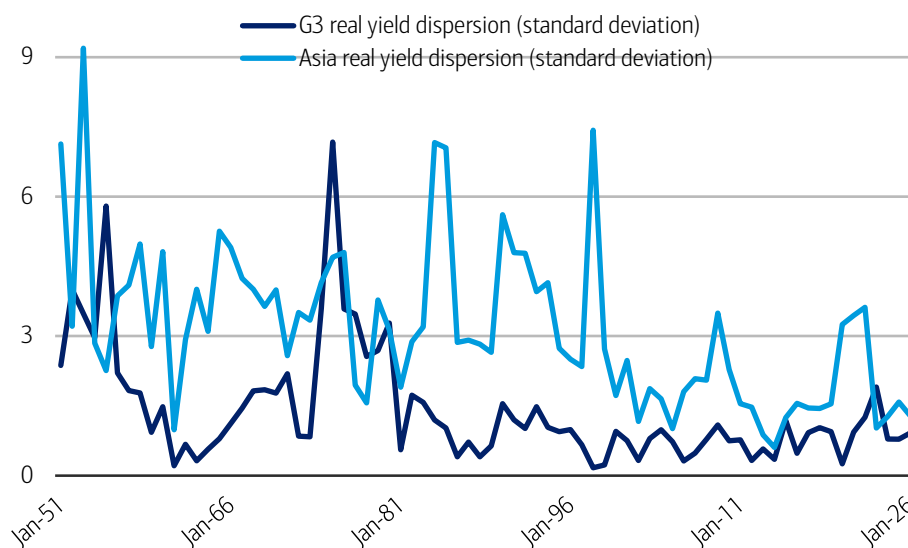


Since the late 1990s, stronger institutional frameworks, improved central bank credibility, and greater policy convergence have compressed this dispersion. The region has evolved towards a more integrated macroeconomic environment.

Asia is not a single macro trade but a basket of economies with different policy regimes, inflation expectations, and structural developments. This heterogeneous nature creates dispersion in real yields and monetary cycles, generating opportunities for cross-market relative value, FX carry, and arbitrage strategies that may be less readily available in developed markets.

Exhibit 7: Real Yields Dispersion as measured by the standard deviation of countries' real yields

The G3 and Asia intra-country dispersion of yields narrowed and converged post 2000s



Source: BofA Global Research, The Public Finances in Modern History

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#4 Capital account liberalization matters

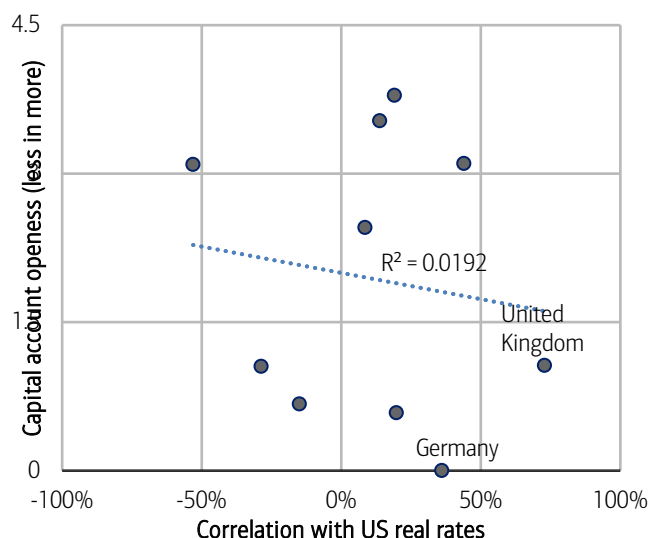
One explanation for the increasing correlation between EM Asia and US long-term real yields is the gradual opening of capital accounts and flows. The Chinn-Ito index (an academic measure of capital account openness) shows that most of Asia has become more financially integrated after 2000 (see Exhibit 9 and Exhibit 9), increasing cross-border capital mobility and foreign participation in domestic bond markets.

We measure this by subtracting the EM Asia capital account openness score with the US, to give a measure of capital account convergence with the US before and after the year 2000.

This integration has narrowed the gap with developed markets such as the UK and Germany even though not fully converged. Thailand, Korea, and the Philippines have observed some of the largest increase in capital account opening, which remains consistent with their increasing correlations with the US real yields. Greater openness has allowed global financial conditions to influence domestic yield curves more directly.

Exhibit 8: Real yield correlations before 2000 vs capital account openness relative to the US

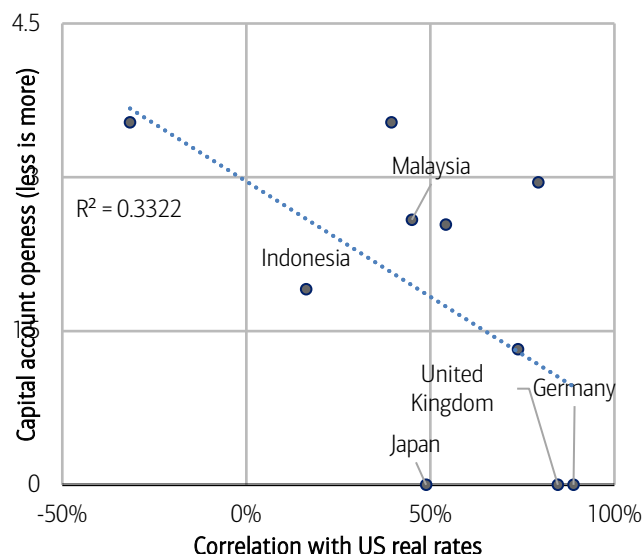
Not a very strong relationship could be seen between US real yield correlations and capital account openness



Source: BofA Global Research, The Public Finances in Modern History, Bloomberg
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Exhibit 9: Real yield correlations after 2000 vs capital account openness relative to the US

Broader capital account liberalization resulted in higher correlation



Source: BofA Global Research, The Public Finances in Modern History, Bloomberg
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That said, the correlation remains incomplete. While G3 maintains highly open capital accounts corresponding with the strong correlation in real yields, Asia still displays broader heterogeneity. China, Indonesia and India remain insulated to the capital account framework. This explains why US correlations, although increasing, remain below than those observed in the UK and Germany.

The implication is that capital account opening has increased global rate transmission without eliminating diversification. Asian real yields are influenced by US financial conditions, but domestic policies, local inflation dynamics, structural growth, and shocks continue to structure region-specific outcomes.

#5 Shocking events lower equilibrium real rates

While capital account openings have increased correlation of EM Asia real yields with US real rates, the decline in Asian real yields is also shaped by external shocks (Exhibit 11). Across several economies, the shocks have lowered real yields over time, reflecting structural shifts in monetary policies, inflation expectations, and long-run growth prospects.

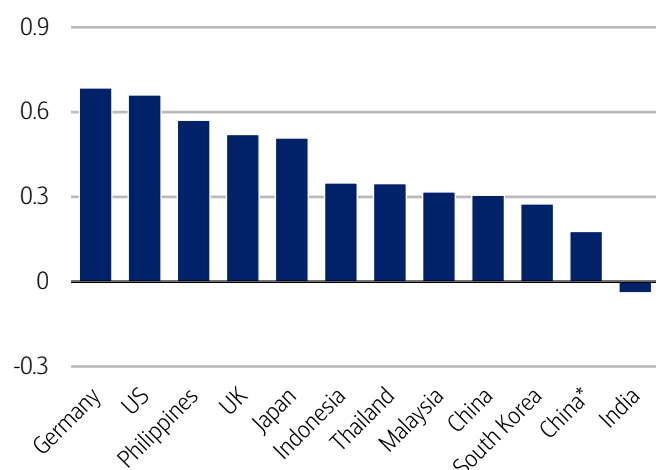
We estimate these shocks by regressing individual country EM real yields against a constant, a lag of the previous year real yield (to describe persistence/momentum) and dummy variables to describe extreme outlier events. This use of dummies may be ad hoc, but in most cases relate to the OPEC oil shock years (1970s), Asia Financial Crisis 1997/98, GFC 2008/09 and COVID. More specific to China, we add a dummy for WTO entry in 2001.

Countries such as China, India, and Indonesia depict this pattern of shocks clearly. Despite their capital accounts remaining relatively regulated, each of them experienced sizable negative shocks with moderate persistence. In China, the WTO accession, excessive investment-led growth, and the Global Financial Crisis - all contributed to a lower real rate environment. India's series of reforms including; inflation targeting, GST, demonetization and financial deepening - all acted to compress real yields.



Exhibit 10: G3 real rates show higher persistence than Asia counterparts

Lagged interest rate coefficients suggest real rates in Asia adjust more rapidly to shocks

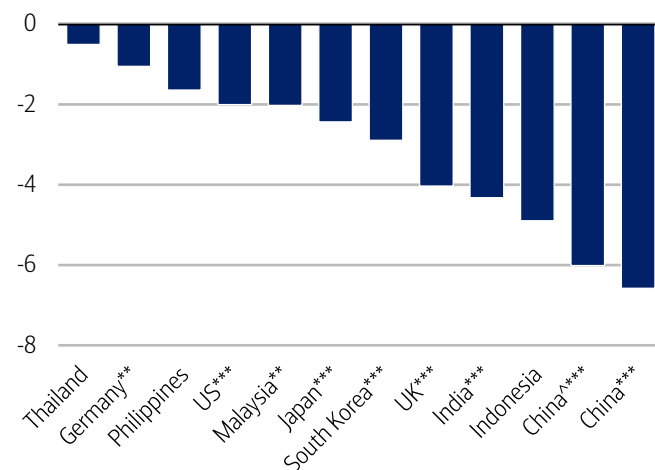


Source: BofA Global Research, The Public Finances in Modern History, IMF

Note:- China* includes the addition of China's entry to the World Trade Organization (WTO) in 2001.
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Exhibit 11: Global shocks had deeper impact on Asia real rates than G3

Crisis dummy coefficients show sharper rate declines in Asia during global downturns



Source: BofA Global Research, The Public Finances in Modern History, IMF

Note: - China* includes the addition of China's entry to the World Trade Organization (WTO) in 2001.
** and *** denote statistical significance at the 5% and 1% levels respectively
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Indonesia presents a clear example of a repeated structural adjustment, with the Asian Financial Crisis, the post-crisis banking overhaul, inflation-targeting adoption, commodity cycles, and successive policy reforms all contributing to a decline in real rates despite limited capital account openness.

Korea presents a different case. While its capital account is relatively open and US rate transmission has strengthened over time, major shocks - the Asian Financial Crisis and the Global Financial Crisis - accelerated the transition towards lower rates. As a result, domestic yields remained structurally lower even as global financial integration increased.

#6 Persistence shapes real-rate dynamics differently

Exhibit 10 and Exhibit 11 separate long real yields behavior into persistence (how much the previous year's real yield predicts the year's rate) and crisis sensitivity (how sharply rates drop when a global shock hits). This separation implies that persistence and structural shocks affect countries in fundamentally different ways – see Exhibit 13.

Empirically, core advanced economies sit toward high persistence, several EMs show low persistence and large crisis responses, and a few lie in between.

The Philippines, along with the US and Japan exhibit the highest persistence, implying real rates are relatively well anchored, remaining elevated or depressed for longer periods. For the Philippines this may be consistent with an elevated and structural risk premium relative to its EM peers.

Thailand, while exhibiting just a moderate persistence, also experienced small shocks, consistent with the strengthening of inflation-targeting frameworks following the Asian financial crisis.

By contrast, China, India, and Indonesia show a different dynamic. While persistence remains generally lower, these countries exhibit larger reactions to shocks. This reflects transformation of structural forces – including China's WTO accession, India's monetary framework, and Indonesia's post-crisis reforms – which has made a more meaningful impact on their real yields. In such cases, structural evolution and shocks appear to matter more than persistence alone.

#7 One Asia, many macro stories

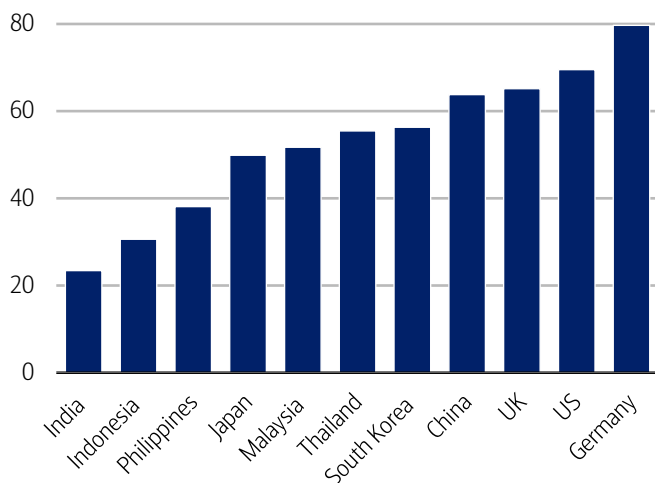
We have kept the analysis of real long-term rates in this note to basic regressions, to help simplify a complex process and capture the key dynamics of long-term averages, persistence (trend) and shocks. While there is evidence of increasing correlation and convergence among Asian real yields, there remains a large disparity on how much these simple factors can explain long-term real yields on an individual country level.

Exhibit 12 shows the regression performance across countries with the UK, US and Germany having the highest explanatory performance (r-square) of 65%, 70% and 80%. This is followed by China at 64% and broader Asia (Korea, Thailand, Malaysia and Japan) around 50%. Only Philippines, India and Indonesia show substantively lower performance, and the hypothesis is this is due lower capital account liberalization and integration with domestic idiosyncratic factors playing a larger role.

Current account deficit economies such as India, Indonesia, and the Philippines exhibit more idiosyncratic real-rate dynamics, reflected in lower explanatory power and greater influence from domestic structural developments (Exhibit 13). On the other hand, China, Korea, Malaysia, and Thailand display a more systematic behavior, with persistence and common factors explaining a larger share of long-term real-rate variation.

Exhibit 12: Explaining real yield dynamics with a simple regression

Regression R-squares across countries. How much are real yields explained by their average, one-year lag and dummy variables for shocks

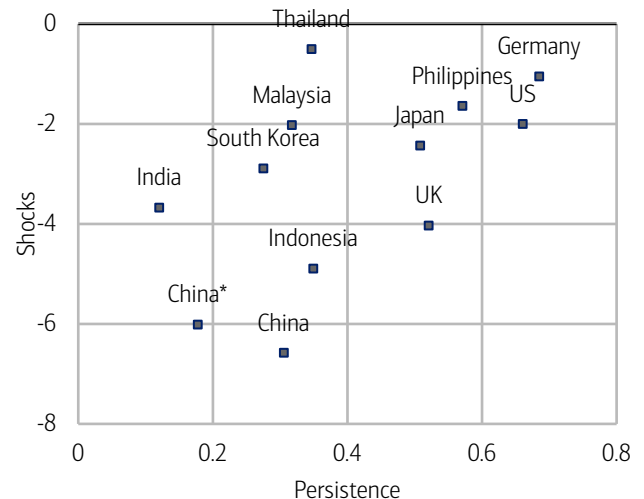


Source: BofA Global Research, The Public Finances in Modern History

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Exhibit 13: Persistence vs Shock, regression coefficients compared

Shock size (dummy/y-axis) and persistence (one-year lag/x-axis) diverge



Source: BofA Global Research, The Public Finances in Modern History

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This diversity remains one of Asia's defining investment characteristics. Rather than being viewed as a homogenous asset region, differing policy frameworks, external balances, inflation dynamics, and financial development continue to produce differentiated opportunities across markets.

#8 Shock China: Disinflation > Inflation

China's long-term real yields are best explained by persistence, large negative responses to global shocks, and a permanent downward shift after WTO accession. China real rates are primarily explained by structural and global shocks, with disinflation effects largely captured through these channels.

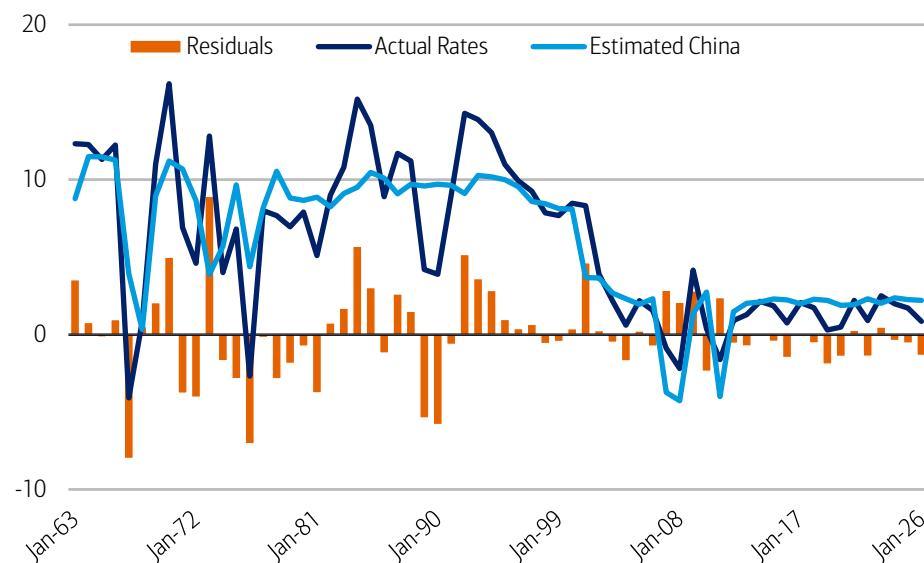
Two distinct forces drive China's long-term real rates. First, cyclical external shocks depress real yields sharply when global stress rises (Exhibit 14). Second, structural integration (WTO accession) lowered China's equilibrium real rate permanently – consistent with financial deepening, altered macroeconomic balance, and greater capital



mobility. Persistence indicates that changes unwind slowly, so the global shocks have prolonged effects.

Exhibit 14: China actual real yields against estimated. Residuals reveal regime shifts, not noise

Errors cluster around crises and 1970s inflation and shrinks post-WTO



Source: BofA Global Research, The Public Finances in Modern History

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The residual plot (Exhibit 14) shows larger errors in the early (pre-WTO) period and spikes around major crises – consistent with structural change and crisis-specific variance, not fully captured by a single global dummy. Post-WTO structural shift residuals cluster closer to zero, validating the Post-WTO dummy's explanatory role.

Deflation Drives Policy: Why China Cuts, not hikes

Deflationary shocks historically mattered more for China's long-term real yields than inflationary shocks, but that effect is conditional: deflation appears strongly significant in simpler specifications but loses incremental power once we explicitly control for structural change (WTO accession).

Deflation risks threaten debt dynamics and growth, so China has repeatedly responded to deflationary episodes with aggressive easing, credit support, and FX/loss-bearing measures to stabilize activity, which in turn pushed real yields down. By contrast, inflation episodes rarely forced a persistent loosening bias because policy prioritized growth stability and often tolerated modest inflation within administered-rate frameworks.

In simpler terms, deflation signals are a higher-priority trigger for easing and yield compression, but they must be read alongside structural regime shifts and global.

Appendix – country sections

China – Deflation shapes the cycle

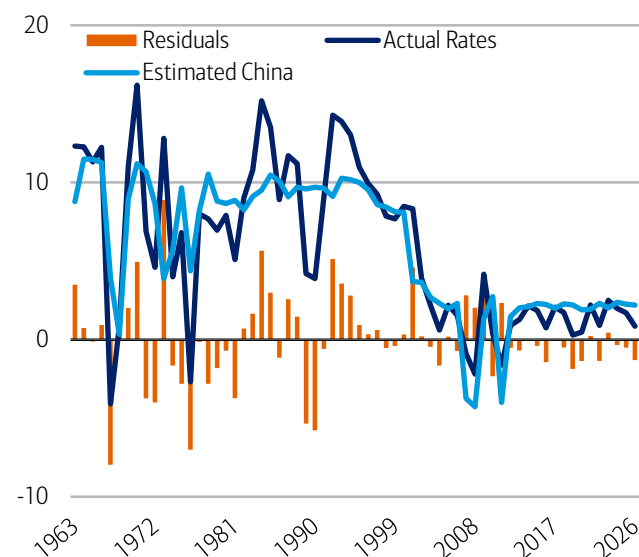
Exhibit 15 shows the in-sample fit between the estimated real yield for China using a simple regression of a constant, one year lag and dummies to account for large macro shocks. The dominant forces for the structural decline post WTO accession in 2001, represented by a dummy variable.

A key observation is that China reacts more strongly to deflation than inflation. Excess supply from over-investment, weak demand, and a prolonged disinflation period have exerted a bigger downward pressure on real rates than the inflationary pressures. This was demonstrated by the regression dummies for deflation shocks being more significant than the inflation dummies.

Also worth noting is that the regression residuals (errors) have shifted from being predominantly positive pre-1999 to negative. This implies current real yields are trading below the estimated real yields.

Exhibit 15: China's real-rate transformation

WTO integration and deflationary periods outweigh global shocks



Source: BofA Global Research, The Public Finances in Modern History

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India: Persistence falters

India contrasts sharply with China's structurally driven real-rate regime. The real-rate dynamic is largely shock-driven, even after restricting the sample to the market liberalization era (1990–2026). Restricting the sample to the modern monetary-policy regime removes much of the earlier period of regulated interest rates and financial suppression, making the results more representative of market-based rate formation.

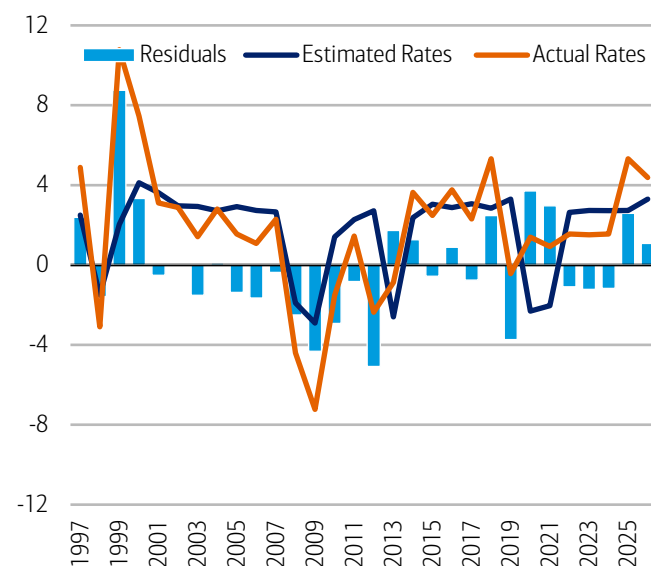
Even so, the lagged real-rate term remains insignificant, indicating limited persistence in real yields.

Instead, global shocks remain the dominant driver. These shocks are associated with a sharp decline in real rates, highlighting India's sensitivity to major external and domestic stress episodes. Residual spikes around the post-GFC inflation cycle and the pandemic period further suggest that inflation shocks and policy responses repeatedly push real rates away from their fundamental trend.

Overall, India is a shock-sensitive market. Unlike China's structurally driven real-rate regime, India's real yields continue to be shaped more by episodic macroeconomic disruptions than by historical rate inertia. As of 2026, real yields are trading higher than the estimated real rates.

Exhibit 16: India's shock-driven reality

Large deviations between estimated and actual rates reveal the limits of persistence-driven dynamics



Source: BofA Global Research, The Public Finances in Modern History

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Indonesia – crisis-prone persistence

Indonesia mirrors the external-led pattern: global shocks explain substantial level shifts. This reflects heavy exposure to commodity price swings and sudden capital flow reversals, amplified by global shocks.

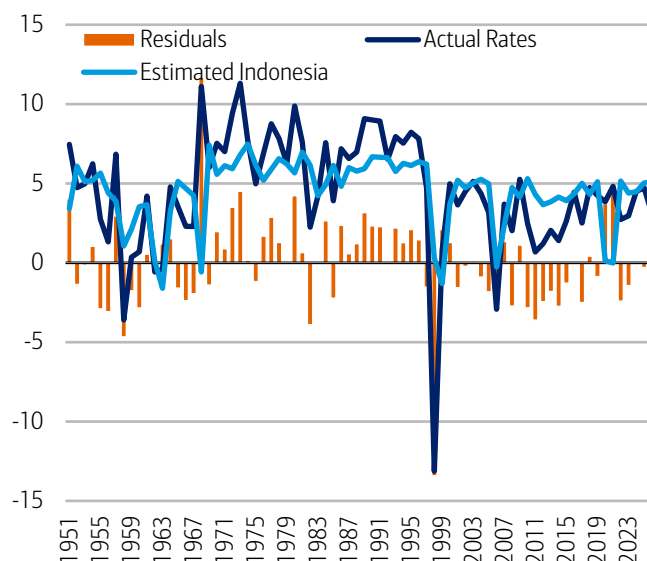
Persistence does not dominate because structural cushions and domestic demand are insufficient to anchor the long end independently of world cycles. Volatility is elevated and visibly heteroskedastic, with crises periods producing outsized movements that reinforce the statistical dominance of global shocks over domestic momentum.

The residual story makes this vulnerability clear: Indonesia's real-rate history is shaped by sharp breaks. The extreme deviations (such as the 1997/98 crisis) show that crises can overwhelm normal persistence and push real rates far away from model-implied levels.

In short, Indonesia is domestically persistent but crisis-prone — stable in normal times, but exposed when external financing, FX, and inflation shocks collide. As of 2026, real yields are trading below the estimated regression yield.

Exhibit 17: Indonesia rates are shock-driven rather than being explained by their past values

Shocks principally set long rates with weak persistence



Source: BofA Global Research, The Public Finances in Modern History

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Korea – persistence meets global risk

South Korea real yields do not point to a purely domestic, inertia-driven system nor to a purely externally dictated one; instead, it reveals a structurally persistent rate process that is materially sensitive to global shocks.

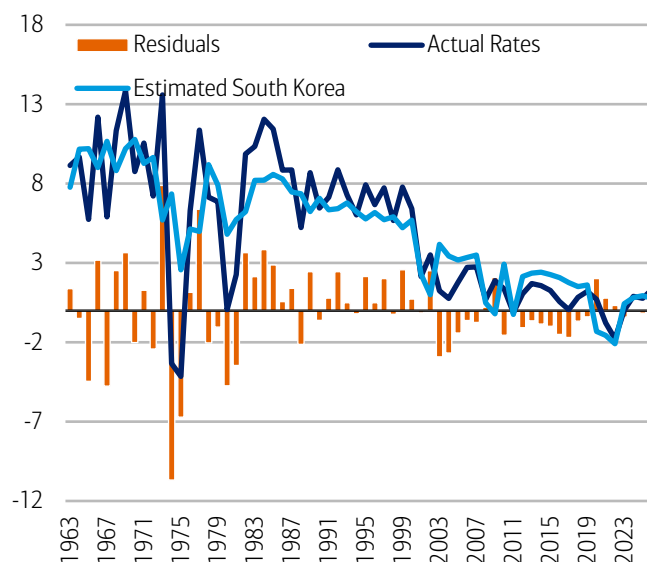
The strong persistence indicates that past domestic conditions and policy stance carry forward into long-term currency rates. This reflects that rates adjust gradually. This behavior is consistent with Korea's mature domestic bond markets, stable inflation expectations, and strong monetary credibility post 1980s with high external openness in trade and capital channels.

However, global shocks also affect the real rates in South Korea. This suggests that major external episodes exert a systematic impact on the levels of real rates.

In practice, South Korea is a deeply open, trade-intensive economy integrated into global manufacturing and capital markets. In other words, shocks compress rates than destabilizing them. A structural decline in equilibrium real rates is also observed in the data – consistent with financial maturation, demographic shifts, and the broader fall in global rates.

Exhibit 18: South Korea – shock absorption

South Korea's long-term dynamics: Large residuals concentrated in earlier periods of crisis and greater stability in recent decades



Source: BofA Global Research, The Public Finances in Modern History

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Malaysia – persistent, but not insulated

Malaysia's real rates are anchored at home but tested abroad. The regression shows that persistence continues to influence real-rate movements, while a clear downward trend points to steadily improving macroeconomic stability and declining inflation risk over time.

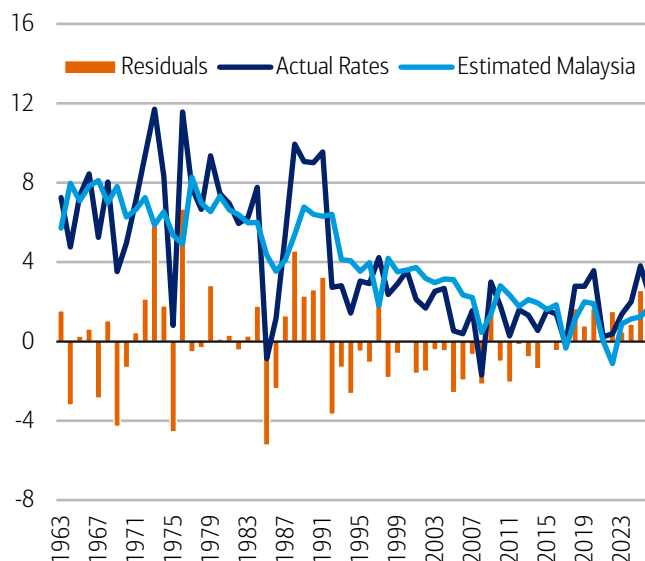
However, unlike some regional peers, global shocks retain significant explanatory power, underscoring Malaysia's exposure to commodity cycle, trade flows, and international capital movements.

The residuals tell a story of periodic disruption rather than chronic instability. Large deviations cluster around major commodity, financial, and crisis episodes, but volatility becomes increasingly contained in recent decades.

As of 2026, Malaysia's long-term real yields look elevated relative to what the estimated regression would imply, suggesting some room for compression.

Exhibit 19: Malaysia yields are influenced by a mixed basket

Meaningful domestic inertia coexists with notable crisis sensitivity, producing intermediate variance rather than spiking in crisis times



Source: BofA Global Research, The Public Finances in Modern History

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Philippines – sticky and elevated real yields

Philippines real rates are persistent by nature but periodically disrupted by global and domestic shocks. The regression shows that the strongest driver of real-rate movements is their own history, underscoring the role of domestic inflation, monetary-policy expectations, and domestic financial conditions.

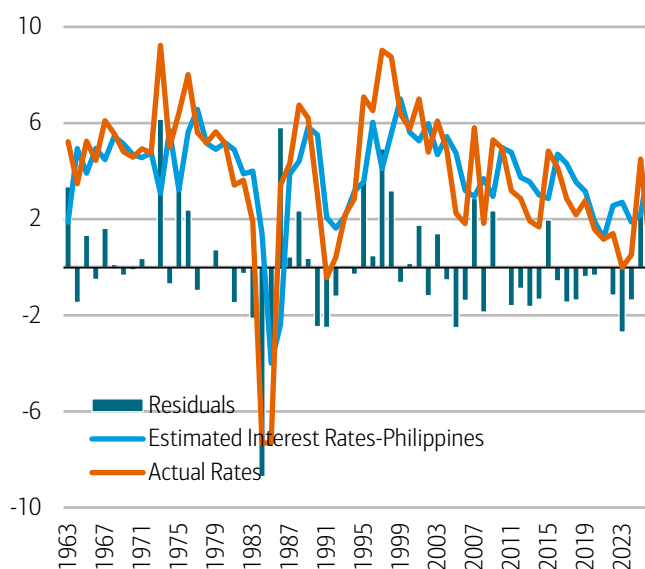
Global shocks retain an independent influence — indicating that shocks can alter the real rate trajectory even after accounting for persistence.

The residuals reinforce this view. The largest deviations from model-implied values coincide with major historical episodes such as the 1973 oil shock and Asian Financial Crisis. Extreme residuals during these periods suggest that sudden inflation shocks, financial stress, and capital-flow volatility temporarily pushed real rates far from levels implied by normal domestic dynamics.

As of 2026, the Philippines 10yr-real yield looks relatively low compared to the regression estimate. This suggests the risk-premium (nominal yield) is too low, unless inflation starts to drop-off, consistent with a transitory oil price shock from the Iran conflict.

Exhibit 20: Under conservative inference, persistence dominates yields in Philippines

Yields are shaped by domestic policies and local investor demand; global sensitivity weakens under robust inference



Source: BofA Global Research, The Public Finances in Modern History

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Thailand – trend trumps crises

Thai real rates show a story of sustained decline since the 1970s, not persistent crisis resets. While real yields exhibit moderate persistence, the dominant driver is a sustained downward trend driven by improving monetary credibility, lower inflation risk, and deeper domestic financial markets.

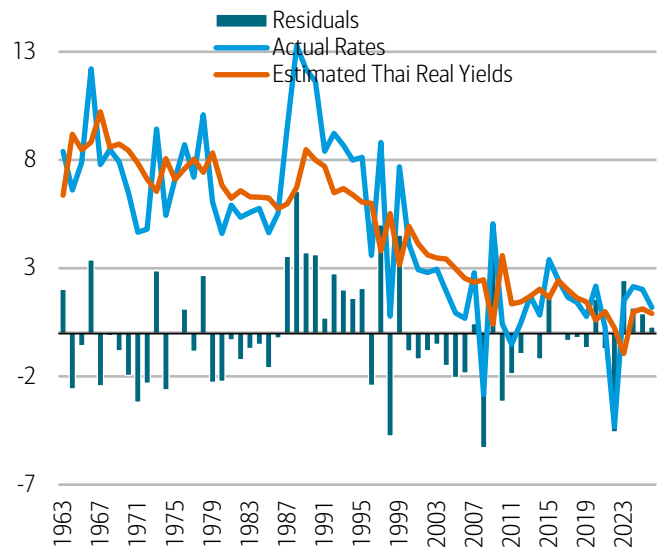
Unlike many economies where crisis periods permanently alter rate dynamics, Thailand's global shock variable is statistically insignificant, suggesting that external shocks create turbulence but do not shape the long-run path of real yields.

This may be shaped by Thailand's persistent current account surplus (like Korea), though it famously had a deficit in the late 1990s that led to the Asia Financial Crisis.

Indeed, the biggest deviations occur during major regime shifts—the late-1980s boom, the Asian Financial Crisis, the Global Financial Crisis, and the post-pandemic inflation shock—but these prove temporary rather than transformative. In short, Thailand's real-rate market is trend-driven, domestically anchored, and resilient to external shocks, with structural forces consistently outweighing crisis-driven volatility over the long run.

Exhibit 21: Persistence dominated Thai real yields

Domestic transmission and buffers absorb shocks, so long-rate variance is driven by domestic dynamics rather than shock resets



Source: BofA Global Research, The Public Finances in Modern History Database, Macrobond
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Note on data used: Public finances in modern history

The data sourced in this note is from - The Public Finances in Modern History Database documents two hundred years of the history of budget deficits and government debts. The current version covers 151 countries over the period 1800-2024, subject to data availability. These data were assembled from a wide array of historical sources, which are documented in the Appendix of Data Sources. The initial database, which covered 55 countries, was analyzed in "A Modern History of Fiscal Prudence and Profligacy", Journal of Monetary Economics, 2015, Vol. 76, pp. 55-70, by Paolo Mauro, Rafael Romeu, Ariel Binder, and Asad Zaman.

The data used for 2024- 2026 year-to-date (June) is the 10yr nominal yield minus headline CPI.

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